

Foreign exchange risk

Foreign exchange risk, also known as currency risk, exchange rate risk, or FX risk, is the financial risk that arises when a company or individual engages in financial transactions denominated in a foreign currency. This risk stems from the uncertainty of future exchange rates, which can significantly impact the value of these transactions.



Types of Foreign Exchange Risk

1.Transaction risk:

This arises when a company or individual has already entered into a foreign currency transaction but has not yet settled the payment. Unfavorable currency fluctuations during this period can result in losses.

2.Translation risk:

This occurs when a company has foreign operations or assets that are denominated in a foreign currency. Changes in exchange rates can affect the value of these assets when they are translated into the company's domestic currency for reporting purposes.

3.Economic Risk

Results from the impact of exchange rate movements on a company's future cash flows, competitiveness, and overall profitability.

1. Transaction Risk

- Arises from **already agreed foreign currency contracts** (imports/exports).
- Exists between **invoice date and settlement date**.
- Caused by **exchange rate fluctuations during credit period**.
- Directly affects **cash inflows and outflows**.
- Impacts **profit margin on foreign trade transactions**.
- Short-term in nature (days to months).
- Can be hedged using **forwards, futures, options**.

Example

An Indian exporter sells goods to a US buyer for **\$10,000**, payable after 60 days. If USD falls from ₹83 to ₹80, the exporter receives less in INR, causing a **loss due to transaction risk**.

2. Translation Risk

(Risk when financial statements of foreign subsidiaries are converted into home currency)

Explanation

- Occurs when a company has **foreign subsidiaries**.
- Financial statements must be **converted into reporting currency**.
- Affects **balance sheet and income statement values**.
- Does not involve actual cash flow changes.
- Arises due to **exchange rate fluctuations at reporting date**.
- Impacts **reported profits and net worth**.
- Important for **multinational corporations (MNCs)**.

Example

An Indian company has a US subsidiary with net assets of **\$1 million**.

If USD depreciates from ₹83 to ₹80, the value of assets reduces in INR terms, causing a **translation loss in books**.

Economic Risk

(Long-term impact of exchange rate changes on firm value and competitiveness)

Explanation

- Also called **operating exposure**.
- Affects **future cash flows and competitiveness**.
- Arises due to **long-term currency movements**.
- Impacts **pricing strategy, demand, and cost structure**.
- Difficult to measure and hedge fully.
- Influences **market value of the firm**.
- Requires strategic decisions like **diversification or relocation**.

Example

An Indian IT company earns most revenue in USD.

If INR appreciates strongly ($₹83 \rightarrow ₹75$), its earnings in INR reduce, making it **less competitive globally and lowering firm value**.

Factors Affecting Foreign Exchange Risk:

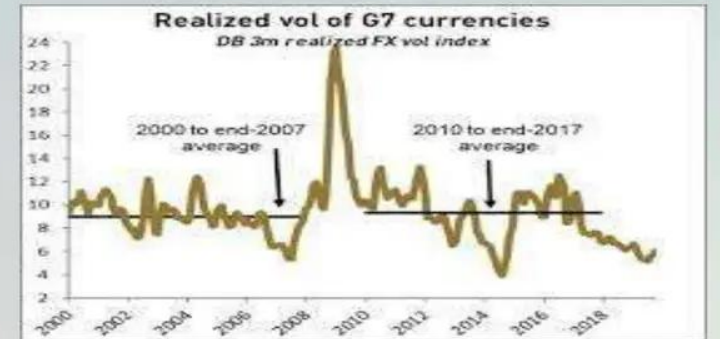
1. Exchange Rate Fluctuations-

The constant changes in exchange rates due to supply and demand in the international currency markets.



2. Market Volatility-

The degree of price variability in the foreign exchange market, impacted by economic and political developments.



3. Political and Economic Factors-

Policies, regulations, geopolitical events, and economic indicators that influence exchange rates.



Methods to Mitigate Foreign Exchange Risk

1 Hedging Strategies

Using financial instruments like forward contracts, options, and futures to lock in exchange rates and protect against adverse movements.

2 Diversification of Currency Exposure

Spreading business activities across different currency areas to reduce reliance on a single currency and decrease risk.

3 Using Financial Derivatives

Utilizing complex financial instruments that derive their value from underlying assets, such as currency swaps and interest rate swaps.



Company X's Approach to Managing Foreign Exchange Risk

Company X, a global manufacturer, successfully mitigates foreign exchange risk through a combination of hedging strategies, diversification of currency exposure, and leveraging financial derivatives.



Examples of Foreign Exchange Risk:

1. An American company imports goods from China: If the value of the Chinese yuan (CNY) depreciates against the US dollar (USD) before the company pays for the goods, the USD cost of the goods will increase, resulting in a loss for the company.

2. A multinational corporation has subsidiaries in different countries: If the value of the subsidiaries' local currencies depreciates against the corporation's home currency, the consolidated financial statements will show lower profits or even losses, despite the subsidiaries' actual performance.

Hedging against Foreign Exchange Risk

1.Forward contracts: These contracts lock in an exchange rate for a future transaction, protecting against unfavorable movements.

2.Options contracts: These provide the right, but not the obligation, to buy or sell a foreign currency at a predetermined price by a specific date.

3.Currency diversification: Investing in assets denominated in multiple currencies can reduce the overall impact of exchange rate fluctuations.

4.Natural hedging: Companies can naturally hedge against FX risk by matching their foreign currency inflows with outflows.

5.Financial planning: Companies can incorporate FX risk scenarios into their financial planning to prepare for potential losses.

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Here is a case study of foreign exchange risk:

Toyota Motor Corporation and the US Dollar

Background-

Toyota Motor Corporation, a Japanese multinational automaker, operates in over 180 countries and generates a significant portion of its revenue from overseas sales. As a result, the company is exposed to foreign exchange risk, particularly fluctuations in the value of the US dollar (USD) relative to the Japanese yen (JPY).

Scenario

In 2018, the USD strengthened against the JPY, reaching a high of 113 yen per dollar. This appreciation of the USD posed a significant risk to Toyota's profitability. For every yen that the USD gained, Toyota's overseas earnings were worth less when converted back to JPY, potentially eroding profits.

Impact on Toyota

The impact of the stronger USD on Toyota was evident in its financial results. In the 2018 fiscal year, Toyota's net profit declined by 13% to 1.5 trillion yen, primarily due to unfavorable exchange rate movements. The company's operating profit also fell by 10% to 2.1 trillion yen.

Hedging Strategies

To mitigate foreign exchange risk, Toyota employs a variety of hedging strategies, including:

- 1.Forward contracts:** Toyota enters into forward contracts to lock in an exchange rate for future transactions, such as the payment for imported components.
- 2.Currency options:** Toyota uses currency options to gain the right to buy or sell USD at a predetermined price by a specific date, providing flexibility in managing exchange rate risks.
- 3.Natural hedging:** Toyota strives to match its foreign currency inflows with outflows by timing its production and sales activities strategically.

Outcome

Toyota's hedging strategies have helped to partially offset the negative impact of exchange rate fluctuations on its profits. While the company remains exposed to FX risk, its proactive approach to managing this risk has helped to maintain its financial stability.

Lessons Learned

This case study highlights the importance of foreign exchange risk management for multinational companies operating in a globalized economy. By understanding the potential impact of exchange rate fluctuations and implementing effective hedging strategies, companies can protect their profitability and maintain long-term financial health.

Conclusion

Foreign exchange risk is an inherent aspect of international business and financial transactions. By understanding the types of FX risk and employing appropriate hedging strategies, companies and individuals can minimize the potential impact of currency fluctuations on their financial performance